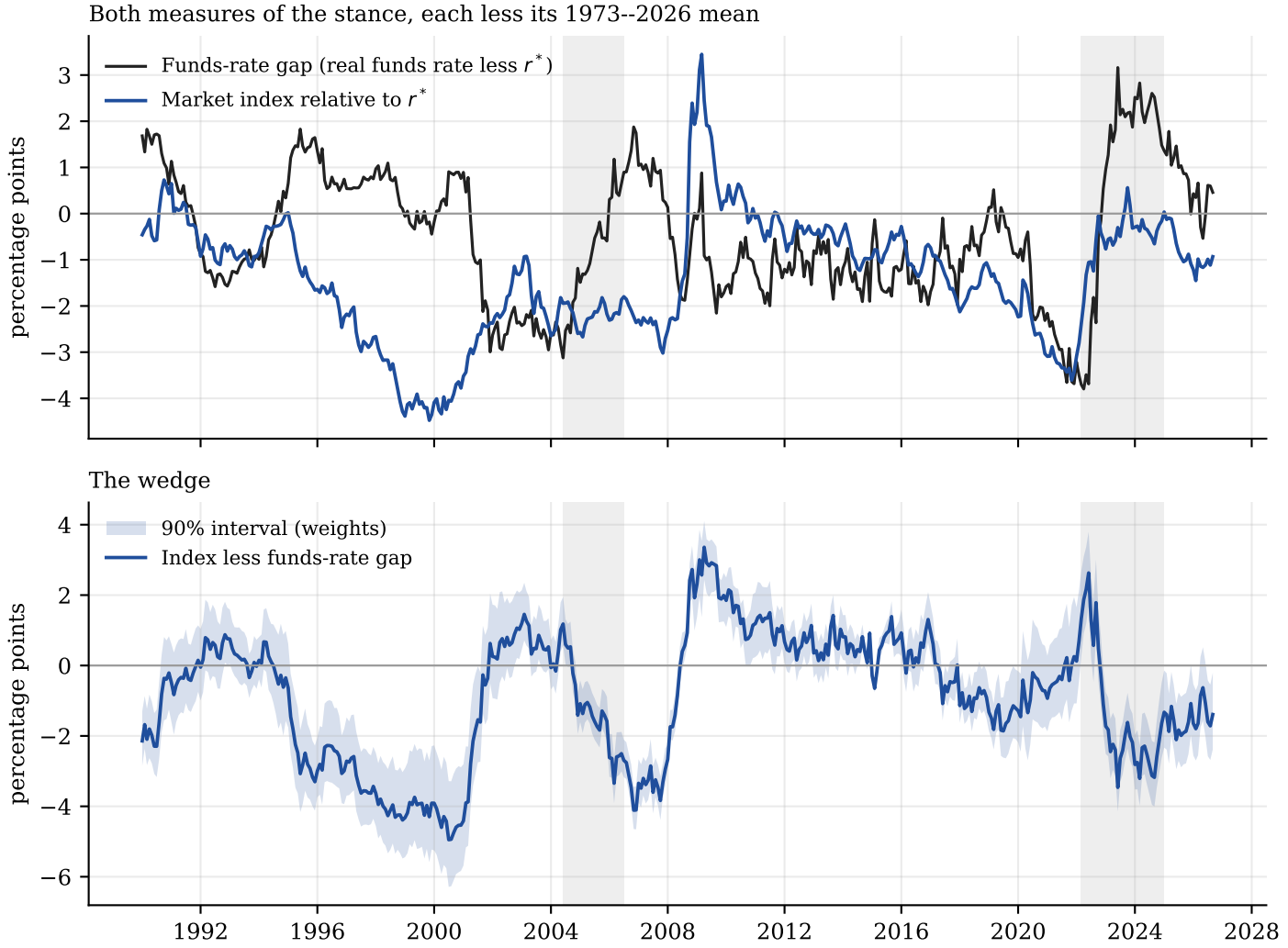
Both measures of the stance, each less its 1973--2026 mean
Funds-rate gap (real funds rate less $r^*$)
Market index relative to $r^*$
percentage points
3
2
1
0
−1
−2
−3
−4
The wedge
90% interval (weights)
Index less funds-rate gap
percentage points
4
2
0
−2
−4
−6
1992
1996
2000
2004
2008
2012
2016
2020
2024
2028